

Financial Policies and Internal Controls

Veritas Forge Industries Ltd

CHANAKYA Demonstration Dataset - synthetic data for a fictional company. Not real.

1. Purpose and Scope

This policy governs expenditure approval, procurement, revenue recognition, expense claims and financial reporting across all departments of the company. It applies to every employee and contractor who commits company funds.

2. Expenditure Approval Limits

Spending must be approved by the authority level shown below. Splitting purchases to avoid a limit is prohibited. The Chief Financial Officer may approve up to Rs 50 lakh per transaction and Rs 10 crore per year.

2.1 Delegation of Authority

Item	Approver	Limit per Transaction (Rs lakh)	Annual Limit (Rs crore)
Capital expenditure	Department Head	5	1
Capital expenditure	Chief Financial Officer	50	10
Capital expenditure	Managing Director	200	50
Capital expenditure	Board	1000	200
Raw material purchase	Department Head	5	1
Raw material purchase	Chief Financial Officer	50	10
Raw material purchase	Managing Director	200	50
Raw material purchase	Board	1000	200
Consumables	Department Head	5	1
Consumables	Chief Financial Officer	50	10
Consumables	Managing Director	200	50
Consumables	Board	1000	200
Contract labour	Department Head	5	1
Contract labour	Chief Financial Officer	50	10
Contract labour	Managing Director	200	50
Contract labour	Board	1000	200
Travel	Department Head	5	1
Travel	Chief Financial Officer	50	10
Travel	Managing Director	200	50
Travel	Board	1000	200
Marketing	Department Head	5	1
Marketing	Chief Financial Officer	50	10
Marketing	Managing Director	200	50
Marketing	Board	1000	200
IT software	Department Head	5	1
IT software	Chief Financial Officer	50	10
IT software	Managing Director	200	50
IT software	Board	1000	200

Item	Approver	Limit per Transaction (Rs lakh)	Annual Limit (Rs crore)
Repairs and maintenance	Department Head	5	1
Repairs and maintenance	Chief Financial Officer	50	10
Repairs and maintenance	Managing Director	200	50
Repairs and maintenance	Board	1000	200
Professional fees	Department Head	5	1
Professional fees	Chief Financial Officer	50	10
Professional fees	Managing Director	200	50
Professional fees	Board	1000	200
Training	Department Head	5	1
Training	Chief Financial Officer	50	10
Training	Managing Director	200	50
Training	Board	1000	200

3. Procurement Policy

Purchases above Rs 5 lakh require three written quotations; purchases above Rs 50 lakh require a formal tender. Single-source purchases need CFO approval with written justification. Vendors are re-evaluated annually on quality, delivery and price.

3.1 Procurement Thresholds

Purchase Value (Rs lakh)	Requirement
Up to 1	Single quotation
1 to 5	Two quotations
5 to 50	Three quotations
Above 50	Formal tender

4. Travel and Expense Claims

Expense claims must be submitted within 15 days of travel with original receipts. Claims above the limits below require Department Head and CFO approval.

4.1 Travel Entitlements

Grade Band	City Class	Hotel per Night (Rs)	Meals per Day (Rs)
G1-G5	Metro	2500	750
G1-G5	Tier-1	2000	600
G1-G5	Tier-2	1625	487
G1-G5	Other	1250	375
G6-G10	Metro	4000	1200
G6-G10	Tier-1	3200	960
G6-G10	Tier-2	2600	780
G6-G10	Other	2000	600
G11-G15	Metro	6500	1950
G11-G15	Tier-1	5200	1560

Grade Band	City Class	Hotel per Night (Rs)	Meals per Day (Rs)
G11-G15	Tier-2	4225	1267
G11-G15	Other	3250	975
G16-G20	Metro	10000	3000
G16-G20	Tier-1	8000	2400
G16-G20	Tier-2	6500	1950
G16-G20	Other	5000	1500

5. Internal Controls

Segregation of duties is mandatory: the person raising a payment cannot approve it. Bank reconciliations are completed within five working days of month end. Journal entries above Rs 10 lakh require CFO review.

5.1 Internal Control Matrix

Control ID	Process	Control Objective	Owner	Frequency
FC-001	Purchase to Pay	Authorisation	CFO	Daily
FC-002	Order to Cash	Segregation of duties	Finance Controller	Weekly
FC-003	Payroll	Access control	Head of Procurement	Monthly
FC-004	Inventory	Valuation	Head of HR	Quarterly
FC-005	Fixed Assets	Accuracy	IT Head	Daily
FC-006	Treasury	Review and approval	Plant Controller	Weekly
FC-007	Financial Close	Cut-off	CFO	Monthly
FC-008	Tax	Completeness	Finance Controller	Quarterly
FC-009	IT General	Reconciliation	Head of Procurement	Daily
FC-010	Expense Claims	Exception reporting	Head of HR	Weekly
FC-011	Purchase to Pay	Completeness	IT Head	Monthly
FC-012	Order to Cash	Reconciliation	Plant Controller	Quarterly
FC-013	Payroll	Exception reporting	CFO	Daily
FC-014	Inventory	Authorisation	Finance Controller	Weekly
FC-015	Fixed Assets	Segregation of duties	Head of Procurement	Monthly
FC-016	Treasury	Access control	Head of HR	Quarterly
FC-017	Financial Close	Valuation	IT Head	Daily
FC-018	Tax	Accuracy	Plant Controller	Weekly
FC-019	IT General	Review and approval	CFO	Monthly
FC-020	Expense Claims	Cut-off	Finance Controller	Quarterly
FC-021	Purchase to Pay	Accuracy	Head of Procurement	Daily
FC-022	Order to Cash	Review and approval	Head of HR	Weekly
FC-023	Payroll	Cut-off	IT Head	Monthly
FC-024	Inventory	Completeness	Plant Controller	Quarterly
FC-025	Fixed Assets	Reconciliation	CFO	Daily
FC-026	Treasury	Exception reporting	Finance Controller	Weekly
FC-027	Financial Close	Authorisation	Head of Procurement	Monthly
FC-028	Tax	Segregation of duties	Head of HR	Quarterly

Control ID	Process	Control Objective	Owner	Frequency
FC-029	IT General	Access control	IT Head	Daily
FC-030	Expense Claims	Valuation	Plant Controller	Weekly
FC-031	Purchase to Pay	Segregation of duties	CFO	Monthly
FC-032	Order to Cash	Access control	Finance Controller	Quarterly
FC-033	Payroll	Valuation	Head of Procurement	Daily
FC-034	Inventory	Accuracy	Head of HR	Weekly
FC-035	Fixed Assets	Review and approval	IT Head	Monthly
FC-036	Treasury	Cut-off	Plant Controller	Quarterly
FC-037	Financial Close	Completeness	CFO	Daily
FC-038	Tax	Reconciliation	Finance Controller	Weekly
FC-039	IT General	Exception reporting	Head of Procurement	Monthly
FC-040	Expense Claims	Authorisation	Head of HR	Quarterly
FC-041	Purchase to Pay	Reconciliation	IT Head	Daily
FC-042	Order to Cash	Exception reporting	Plant Controller	Weekly
FC-043	Payroll	Authorisation	CFO	Monthly
FC-044	Inventory	Segregation of duties	Finance Controller	Quarterly
FC-045	Fixed Assets	Access control	Head of Procurement	Daily
FC-046	Treasury	Valuation	Head of HR	Weekly
FC-047	Financial Close	Accuracy	IT Head	Monthly
FC-048	Tax	Review and approval	Plant Controller	Quarterly
FC-049	IT General	Cut-off	CFO	Daily
FC-050	Expense Claims	Completeness	Finance Controller	Weekly
FC-051	Purchase to Pay	Review and approval	Head of Procurement	Monthly
FC-052	Order to Cash	Cut-off	Head of HR	Quarterly
FC-053	Payroll	Completeness	IT Head	Daily
FC-054	Inventory	Reconciliation	Plant Controller	Weekly
FC-055	Fixed Assets	Exception reporting	CFO	Monthly
FC-056	Treasury	Authorisation	Finance Controller	Quarterly
FC-057	Financial Close	Segregation of duties	Head of Procurement	Daily
FC-058	Tax	Access control	Head of HR	Weekly
FC-059	IT General	Valuation	IT Head	Monthly
FC-060	Expense Claims	Accuracy	Plant Controller	Quarterly
FC-061	Purchase to Pay	Access control	CFO	Daily
FC-062	Order to Cash	Valuation	Finance Controller	Weekly
FC-063	Payroll	Accuracy	Head of Procurement	Monthly
FC-064	Inventory	Review and approval	Head of HR	Quarterly
FC-065	Fixed Assets	Cut-off	IT Head	Daily
FC-066	Treasury	Completeness	Plant Controller	Weekly
FC-067	Financial Close	Reconciliation	CFO	Monthly
FC-068	Tax	Exception reporting	Finance Controller	Quarterly
FC-069	IT General	Authorisation	Head of Procurement	Daily

Control ID	Process	Control Objective	Owner	Frequency
FC-070	Expense Claims	Segregation of duties	Head of HR	Weekly
FC-071	Purchase to Pay	Exception reporting	IT Head	Monthly
FC-072	Order to Cash	Authorisation	Plant Controller	Quarterly
FC-073	Payroll	Segregation of duties	CFO	Daily
FC-074	Inventory	Access control	Finance Controller	Weekly
FC-075	Fixed Assets	Valuation	Head of Procurement	Monthly
FC-076	Treasury	Accuracy	Head of HR	Quarterly
FC-077	Financial Close	Review and approval	IT Head	Daily
FC-078	Tax	Cut-off	Plant Controller	Weekly
FC-079	IT General	Completeness	CFO	Monthly
FC-080	Expense Claims	Reconciliation	Finance Controller	Quarterly
FC-081	Purchase to Pay	Cut-off	Head of Procurement	Daily
FC-082	Order to Cash	Completeness	Head of HR	Weekly
FC-083	Payroll	Reconciliation	IT Head	Monthly
FC-084	Inventory	Exception reporting	Plant Controller	Quarterly
FC-085	Fixed Assets	Authorisation	CFO	Daily
FC-086	Treasury	Segregation of duties	Finance Controller	Weekly
FC-087	Financial Close	Access control	Head of Procurement	Monthly
FC-088	Tax	Valuation	Head of HR	Quarterly
FC-089	IT General	Accuracy	IT Head	Daily
FC-090	Expense Claims	Review and approval	Plant Controller	Weekly
FC-091	Purchase to Pay	Valuation	CFO	Monthly
FC-092	Order to Cash	Accuracy	Finance Controller	Quarterly
FC-093	Payroll	Review and approval	Head of Procurement	Daily
FC-094	Inventory	Cut-off	Head of HR	Weekly
FC-095	Fixed Assets	Completeness	IT Head	Monthly
FC-096	Treasury	Reconciliation	Plant Controller	Quarterly
FC-097	Financial Close	Exception reporting	CFO	Daily
FC-098	Tax	Authorisation	Finance Controller	Weekly
FC-099	IT General	Segregation of duties	Head of Procurement	Monthly
FC-100	Expense Claims	Access control	Head of HR	Quarterly

6. Revenue Recognition

Revenue is recognised when control of goods transfers to the customer, normally on dispatch for domestic sales and on bill of lading for exports.

7. Financial Reporting Calendar

Quarterly results are closed on working day 10 after quarter end and reviewed by the Audit Committee within 21 days.

7.1 Reporting Deadlines

Activity	Deadline
Monthly close	Working day 7
Quarterly review	Day 21
Annual audit sign-off	May 30